

DEALING WITH DEBT

Finding the Cheapest Loans and Getting Yourself Out of Hock

SUPPOSE YOU'RE 30 years old and you owe \$3,500 on your credit card. The interest rate on your card is 17%. If you regularly make the minimum payment required by the credit card issuer, when will you have paid off your card? (Drum roll, please.) The answer is...when you're 65 years old. By then, you would have paid \$7,662 in interest, plus the \$3,500 you borrowed—a grand total of \$11,162!

The point of this chilling example is clear: Carrying a lot of credit card debt—or *any* type of debt, for that matter—can be hazardous to your long-term financial health. Unfortunately, debt is a problem many of us are intimate with. The amount of money that Americans owe on their credit cards has nearly doubled in the last ten years.

Whether you're trying to pay off your debt or simply looking for a low-cost loan amid the credit crunch, this chapter provides tips on managing your credit card load, figuring out new student loan repayment strategies, locating affordable car loans, and avoiding the pitfalls of home equity loans. It will also provide you with an inside look at how your credit habits affect your credit report and your credit score, the SAT of your money management life.